

mination that he bounced back,” she says. This made her realise the importance of health. “His first passion was work and I was his mistress,” she says with a straight face, followed by a quick laugh.

The company, which is today a name in energy (boilers, waste-heat recovery systems, and absorption chillers) and environment (air-pollution control equipment and water treatment chemicals), had many non-core businesses such as electronics, software, grain silos and paint booths. “We got into software even before Infosys,” she recalls. These businesses were adding to the top line but were hardly profitable. As a result, the stock fell from ₹400 to ₹36. Finally, it was an anonymous letter from a shareholder who was unhappy about the company’s financial and stock performance that triggered a transformation within Aga. She had to be tough and divest some non-core businesses.

During that difficult period, Arun Maira, then the Chairman of BCG India, came home for dinner. “I showed him the shareholder’s letter and he said, just engage us.” Thermax could not afford him, but she thought it was the need of the hour. The board had reservations, but Aga was adamant, swinging the decision.

In 1996, her husband passed away aged 60, and three days after that, the Thermax board asked her to take over. “I was not fond of technology or finance and I was missing him,” she recalls. The discomfort with finance continues and she sheepishly speaks of her daughter (Thermax Chairperson Meher Pudumjee) being nervous about her adding a few zeros each time she writes a cheque.

PAIN BEFORE GAIN

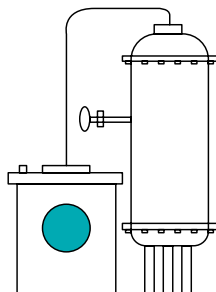
There was more pain in Aga’s personal life. Her son passed away. “She approached me as a friend when her son died soon after her husband had

THE JOURNEY

01 **Aga’s journey in Thermax began in the HR department. She took over the top job after her husband’s death**

02 **The company had recently gone public and a foray into unrelated businesses led to a precarious financial position**

03 **Aga effected a turnaround at Thermax by reconstituting the board, exiting non-core businesses, focusing on efficiencies and increasing customer-focus**



passed away and she was thrust into the role of CEO,” says Maira. Thermax’s small shareholders were not happy with its financial performance. “The company was not doing too well and so they were not benefiting from it as much as they wanted to. This sounds like a business management problem. The small shareholders said while the company’s financial performance may not matter too much to Aga herself, because she was a very decent person who was not extravagant in her lifestyle, they were not so well off and needed more.”

Another person she spoke to was Vallabh Bhansali, Co-founder & Chairman, Enam Group, who recalls his association with Rohinton and describes him as a “sharp person.” He came on the board, something he normally does not do. “We had taken the company public and I knew the business well,” says Bhansali.

“Anu reached out to me when things were getting out of hand. I was quite pained by what I saw,” says Bhansali. The situation was difficult but all he told her was, “*Sab kuch seedha karenge* (we will set everything in order).” In his own mind, there was no doubt it could be done if a clear strategy could be drawn up. “They had a great brand in Thermax. What stood out about Anu was her honesty, humility and strength of character,” he adds. Bhansali joined the board on the condition that he would step down the moment things were back on track. “Anu was an HR person but knew the business in great detail. Once the strategy was in place, things started to fall into place,” he adds.

BRINGING IT TOGETHER

The brief to BCG was clear: make Thermax a high-performing company. The diversification of businesses was increasing the top line but did little by way of bottom line. It was clear some hard decisions had to be taken, and fast. Plus, she needed the right